IRM

Iron Mountain Inc. (NYSE)

As-of: 2026-10-18 | Latest Filing: 10-Q Q2 FY2026 | Currency: USD

$$112.51 [Mkt 18-Oct-26]

Market Cap: $33.5B [Mkt 18-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

Monopoly-like physical storage (98% retention) generates inflation-protected cash that funds the data center build. 37%+ adjusted EBITDA margins with net lease leverage at 4.8x, the lowest since the 2014 REIT conversion. GAAP earnings are depressed by depreciation and are not meaningful for a REIT; AFFO is the true cash metric.

2. Recent Trend — 80

Three consecutive quarterly beats (Q4 2025, Q1 and Q2 2026). Q2 revenue +18.5% YoY to $2.03B, AFFO per share +16% to $1.44. Growth businesses (data center, digital, ALM) collectively grew over 50% and now represent about 35% of revenue, up 750 bps YoY.

3. Forward Growth — 78

Guidance raised across revenue, EBITDA, and AFFO in August. 110 MW leased year to date with 75 MW signed in July alone, and roughly 325 MW to be energized over 24 months. The digital mix shift should structurally accelerate the blended growth rate and margin.

4. Valuation — 62

DCF base $125.41 vs $112.51 spot implies 11.5% upside. At 19.1x FY2026E AFFO of $5.90 the multiple is full but fair for a 15% AFFO grower; the 3.1% dividend yield is covered at a 62% payout. Street consensus sits higher at $139.83 (Moderate Buy).

5. Catalysts & Risk — 62

Near-term catalysts in Q3 earnings and continued MW leasing. Key risks are the $19B debt load and REIT rate sensitivity, heavy data center growth capex, and notable insider selling (CEO sold half his position October 1, albeit under a 10b5-1 plan).

Investment Thesis

- **Digital pivot inflecting:** Growth businesses (data center, digital, asset lifecycle management) grew more than 50% YoY in Q2 and now represent about 35% of revenue. 110 MW leased year to date, 75 MW of it in July alone, with roughly 325 MW to energize over 24 months [IRM Q2 2026].
- **REIT cash machine funds the build:** The 98% retention physical storage monopoly throws off inflation-protected cash that funds data center capex without excessive dilution. FY2026 AFFO guidance of $5.90 per share (+14%) covers the 3.1% dividend at a 62% payout ratio [IRM Q2 2026, Mkt 18-Oct-26].
- **Market prices the melting ice cube:** The reverse DCF shows the market implies only about 4% five-year AFFO growth, below our 6.5% base case. Our AFFO-based DCF values the base case at $125.41, implying 11.5% upside from $112.51 [DCF 18-Oct-26].

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (FY26E guide)	$7.98B [IRM Q2 2026]	+16% YoY at midpoint [IRM Q2 2026]	Up
Adj EBITDA (FY26E guide)	$2.96B [IRM Q2 2026]	37.1% margin [IRM Q2 2026]	Up
AFFO per share (FY26E guide)	$5.90 [IRM Q2 2026]	+14% YoY [IRM Q2 2026]	Up
Data center leasing YTD	110 MW [IRM Q2 2026]	75 MW signed in July alone [IRM Q2 2026]	Up
Dividend yield	3.1% [Mkt 18-Oct-26]	$3.46 annualized, ~62% of AFFO [IRM Q2 2026]	Stable
Net lease adj. leverage	4.8x [IRM Q2 2026]	Lowest since 2014 REIT conversion [IRM Q2 2026]	Down

Historical Financial Trend

METRIC	FY24	FY25	FY26E
Revenue ($B)	6.15 [IRM FY2025]	6.90 [IRM FY2025]	7.98 [IRM Q2 2026]
Revenue growth %	n/a [IRM FY2025]	12% [IRM FY2025]	16% [IRM Q2 2026]
Adj EBITDA ($B)	2.24 [IRM FY2025]	2.57 [IRM FY2025]	2.96 [IRM Q2 2026]
Adj EBITDA margin %	36.4% [IRM FY2025]	37.3% [IRM FY2025]	37.1% [IRM Q2 2026]
AFFO ($B)	1.35 [IRM FY2025]	1.54 [IRM FY2025]	1.77 [IRM Q2 2026]
AFFO per share ($)	4.54 [IRM FY2025]	5.17 [IRM FY2025]	5.90 [IRM Q2 2026]
Dividend annualized ($)	3.14 [IRM FY2025]	3.22 [IRM FY2025]	3.46 [IRM Q2 2026]

Valuation

Absolute (6/10)

DCF Base $125.41 [DCF 18-Oct-26]
DCF Blended $123.73 [DCF 18-Oct-26]
P/AFFO (FY26E) 19.1x [Mkt 18-Oct-26]
Dividend yield 3.1% [Mkt 18-Oct-26]

DCF implies 11.5% upside at $112.51. 19x forward AFFO is full but defensible for 14-15% AFFO growth; the yield is safe at a 62% payout.

Versus Peers (5/8)

Data center REIT comps (DLR, EQIX) [Peers 18-Oct-26]
Peer AFFO multiples under review

IRM trades at a hybrid multiple reflecting its storage mix; pure data center REITs command premiums IRM could grow into as digital scales.

Versus History (6/7)

AFFO per share: $4.54 (FY24) to $5.90 (FY26E) [IRM FY2025, IRM Q2 2026]
Adj EBITDA margin: 36.4% to 37.1%

Consistent mid-teens AFFO growth with stable margins; the multiple has room to expand as the digital mix rises.

Catalyst Timeline

Nov 5, 2026 [IRM Q2 2026]
Q3 2026 earnings. Data center MW leasing momentum (75 MW signed in July alone) and progress on the 325 MW energization pipeline in focus.

Top Risk Factors (Item 1A)

1. Leverage and rate sensitivity: Total debt of $19.05B against a $33.5B market cap. As a REIT, the valuation is sensitive to the 10-year yield (5.10%); sustained high rates raise refinancing costs and compress the AFFO multiple. [Mkt 18-Oct-26]

Ongoing [Research]
Data center leasing announcements; scarcity pricing on newly stabilized digital assets as moratoriums constrain competing supply.

FY27 [IRM Q2 2026]
Energization of ~325 MW of data center capacity over 24 months; mix shift toward digital should structurally expand the blended EBITDA margin.

What Would Change Our Score

A slowdown in MW leasing or a pause in the 325 MW energization pipeline would cut the growth case and the target. Sustained 50%+ growth-business momentum with EBITDA margins pushing toward 40% would support the Bull case and a rerating toward pure data center REIT multiples.

2. Data center execution risk: Roughly 325 MW of data center capacity must be energized over 24 months, with $553M of growth capex spent in Q2 alone. Delays, cost overruns, or weak lease-up would hit both growth and margins. [IRM Q2 2026]

3. Insider selling: CEO William Meaney sold 38,474 shares on October 1 (about $4.25M, a 50% reduction in his position) and EVP Greg Mcintosh sold 5,000 shares. Both were 10b5-1 planned sales, but the CEO halving his stake warrants attention. [Mkt 18-Oct-26]

4. Legacy storage decline: Physical records storage faces long-run secular decline; the thesis depends on 98% retention holding and the digital businesses scaling fast enough to more than offset any legacy erosion. [Research]

Forward Growth Drivers

- Monopoly-grade physical storage: 98% retention rates on records management, an inflation-protected cash cow that funds data center expansion without excessive dilution. [Research]
- Regulatory moratoriums act as a CAPEX moat; IRM marks new capacity to market at premium rates from a smaller base than DLR or EQIX, disproportionately boosting margins. [Research]
- Cross-selling 240,000+ customers across 61 countries (about 95% of the Fortune 1000) from physical storage into digital and ALM services. [IRM Q2 2026]
- Tuck-in M&A (recent Groupe ATF close) plus operational transformation including AI to drive further margin and revenue upside. [IRM Q2 2026]

Missing / Modified Data Log

- Peer AFFO multiples for data center REITs (DLR, EQIX) not yet verified at build time; peer valuation section is qualitative.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.